

SLB (SLB)

\$53.50 (Stock Price as of 03/27/2026)

Price Target (6-12 Months): **\$50.00**

Long Term: 6-12 Months

Zacks Recommendation:

Neutral

(Since: 09/15/25)

Prior Recommendation: Underperform

Short Term: 1-3 Months

Zacks Rank: (1-5)

3-Hold

Zacks Style Scores:

VGM: C

Value: B

Growth: C

Momentum: F

Summary

SLB's leadership in providing technology for complex oilfield projects enables it to take up new offshore projects in the shallow water basins outside North America. The company has a successful track record of strong free cash flow (FCF) conversion, with a solid \$4.11 in FCF in 2025. SLB is poised for significant growth in its New Digital segment by leveraging its extensive data resources and global expertise. The company reported better-than-expected fourth-quarter results, primarily driven by stabilized upstream activity globally and revenue increases in the Digital segment. Yet, SLB faces challenges due to its high long-term debt and low cash balance. SLB's North American land operations are expected to remain under pressure. The uncertainty in the macroeconomic outlook, along with dampened growth of upstream investments, poses near-term headwinds for SLB.

Data Overview

52 Week High-Low	\$53.70 - \$31.11
20 Day Average Volume (sh)	21,979,340
Market Cap	\$80.4 B
YTD Price Change	39.4%
Beta	0.68
Dividend / Div Yld	\$1.18 / 2.2%
Industry	Technology Services
Zacks Industry Rank	Bottom 23% (187 out of 244)

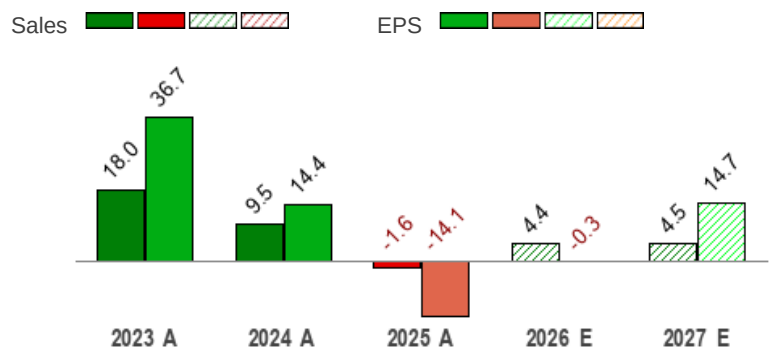
Last EPS Surprise	5.4%
Last Sales Surprise	2.2%
EPS F1 Est- 4 week change	-2.5%
Expected Report Date	04/24/2026
Earnings ESP	-12.6%

P/E TTM	18.3
P/E F1	18.8
PEG F1	2.7
P/S TTM	2.3

Price, Consensus & Surprise⁽¹⁾



Sales and EPS Growth Rates (Y/Y %)⁽¹⁾



Sales Estimates (millions of \$)⁽¹⁾

	Q1	Q2	Q3	Q4	Annual*
2027	9,177 E	9,462 E	9,766 E	10,246 E	38,848 E
2026	8,816 E	8,963 E	9,320 E	9,846 E	36,997 E
2025	8,490 A	8,546 A	8,928 A	9,745 A	35,708 A

EPS Estimates⁽¹⁾

	Q1	Q2	Q3	Q4	Annual*
2027	0.74 E	0.81 E	0.86 E	0.95 E	3.33 E
2026	0.60 E	0.65 E	0.75 E	0.84 E	2.85 E
2025	0.72 A	0.74 A	0.69 A	0.78 A	2.93 A

*Quarterly figures may not add up to annual.

(1) The data in the charts and tables, including the Zacks Consensus EPS and sales estimates, is as of 03/27/2026.

(2) The report's text and the price target are as of 03/06/2026.

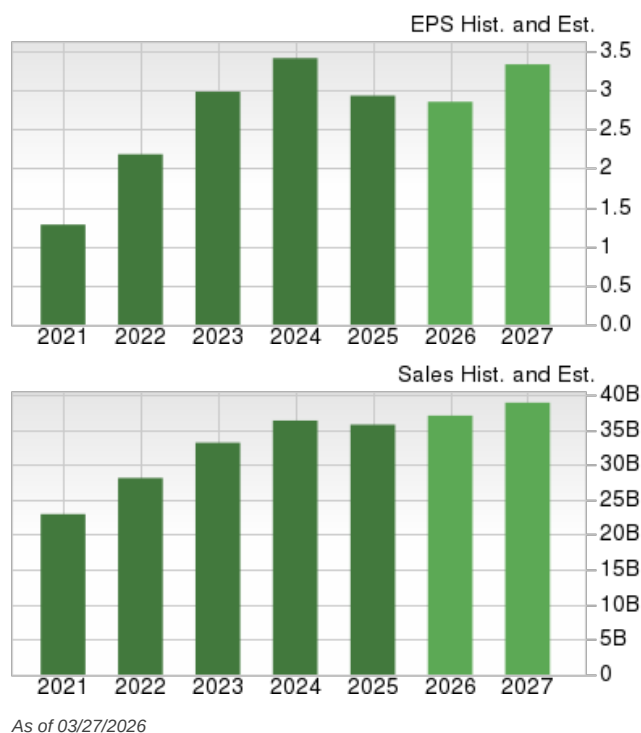
Overview

Houston, TX-based SLB is a leading oilfield services company, providing services to the oil and gas explorers, and producers across the world. Through oilfield services contracts, SLB helps the upstream energy players to locate oil and gas, and to drill and evaluate hydrocarbon wells. The company, founded in 1926, also supports the explorers to construct oil and gas wells and produce optimum volumes of the commodities from the existing wells.

From the onset of 2020 through mid-2022, the broader energy market felt the impact of the coronavirus pandemic. Upstream energy companies reduced capital spending to navigate through the challenges of lower oil prices caused by the pandemic. Consequently, demand for oilfield services plummeted, as these service providers play a crucial role in assisting upstream firms in efficiently drilling oil wells. However, there has been a significant shift in recent times. Oil prices have rebounded substantially and are anticipated to remain robust in 2024. As a result, the overall business landscape is poised to remain favorable, with increased exploration and production activities driving up the demand for oilfield services, thereby benefiting SLB.

Overall, with operations across 120 countries, the company provides the most comprehensive range of oilfield services and products to the explorers and producers of hydrocarbons. Notably, with presence in almost all the key oilfield services markets across the globe, SLB conducts its business through four segments — Digital & Integration, Reservoir Performance, Well Construction and Production Systems.

In 2025, SLB's revenue distribution was as follows: Digital contributed 7.45%, Reservoir Performance added 19.1%, Well Construction contributed 33.20%, and Production Systems accounted for 37.32%..



Reasons To Buy:

- ▲ SLB's greater reliance on the lucrative international market is appreciable. Being the leading provider of technology for complex oilfield projects, SLB is better positioned than most peers to take up new offshore projects in the shallow water basins outside North America. The company's focus on long-term deals with state-run entities and integrated firms is a major positive, providing stability and consistent revenue streams. SLB's diverse product and service mix, coupled with its leadership in international and offshore markets, positions it favorably to capitalize on the expected multi-year upturn in these markets, particularly in the critical Middle East region.
- ▲ SLB reduced Scope 1 and 2 emissions and launched several transition technologies to support its decarbonization plan. The leading oilfield service player boasts of becoming the first company in the energy service industry to add Scope 3 emissions ambition in the net-zero emission target. It is planning on a 30% cut in Scopes 1 and 2 emissions by as early as 2030 and is well on track to meet this commitment. SLB has set a goal to achieve net-zero greenhouse gas emissions by 2050.
- ▲ SLB has a proven track record of strong free cash flow (FCF) conversion, demonstrating its ability to efficiently convert a substantial portion of revenue into free cash flow. In 2025, the company generated a solid \$4.1 billion in FCF, of which a significant portion was returned to shareholders, underscoring its capability to deliver significant cash returns. SLB's robust cash flow from operations and free cash flow are expected to support higher investor returns.
- ▲ SLB is poised for significant growth in its New Digital segment, driven by the rapid adoption of cloud computing, enhanced data utilization, and digital operations. The company leverages its extensive data resources and global expertise, which position it as a leader in autonomy and AI-driven solutions. This digital expansion is expected to boost margins, supported by increasing customer adoption and active projects that demonstrate strong market acceptance and future growth potential.

SLB's strengths lie in its robust international market presence and technological leadership in oilfield projects, backed by long-term contracts.

Reasons To Sell:

- ▼ SLB's long-term debt at the end of the fourth quarter stood at \$9.7 billion, with only \$4.2 billion in cash and short-term investments. SLB's net debt-to-capitalization ratio of 20.73% is also higher than its sub-industry peers. This imbalance suggests that SLB may face challenges in managing its debt obligations and raises concerns about its liquidity position. The relatively low cash reserves compared to its long-term debt could constrain SLB's ability to meet financial commitments.
- ▼ Reduced spending by key customers amid uncertain energy market conditions limits SLB's ability to generate growth from its core long-term projects. The company continues to face challenges in its North American land operations, where activity growth is anticipated to remain sluggish in the near term. Due to a rather unfavorable commodity price environment, operators in North America continue to focus on production maintenance mainly through efficiency gains, rather than increasing drilling activity. With short-cycle activity growth softening, particularly in U.S. land operations, investors may be concerned about SLB's ability to sustain revenue growth in this key market.
- ▼ The ongoing uncertainty regarding trade tariffs creates severe headwinds for SLB's business that may affect its overall profitability. SLB's Production Systems division imports significant volumes of raw materials and is particularly vulnerable to rising tariffs, which could increase costs and compress its profit margins.
- ▼ As a major player in the oilfield services sector, SLB's financial performance is closely tied to the health of the oil and gas industry. Per the U.S. Energy Information Administration, oil prices are likely to be under pressure over the next two years due to a supply-demand imbalance. Persistently low oil prices may dampen the growth of upstream investments, thereby hurting the demand for SLB's oilfield services. Consequently, this could translate into declining revenue and earnings for SLB.

Reduced customer spending and SLB's high long-term debt are a cause of concern.

Last Earnings Report

SLB Q4 Earnings Beat Estimates, Revenues Increase Y/Y

SLB has reported fourth-quarter 2025 earnings of 78 cents per share (excluding charges and credits), which beat the Zacks Consensus Estimate of 74 cents. The bottom line, however, decreased from the year-ago quarter's level of 92 cents.

The oilfield services giant recorded total quarterly revenues of \$9.75 billion, which topped the Zacks Consensus Estimate of \$9.53 billion. The top line also increased from the year-ago quarter's figure of \$9.28 billion.

The better-than-expected quarterly results were primarily driven by stabilized upstream activity globally and revenue increases in the Digital segment. However, decreased revenues from the Reservoir Performance and the Well Construction segments partially offset the positives.

Dividend Hike

SLB increased its quarterly cash dividend to 29.5 cents per share payable on Apr. 2, 2026, to shareholders of record as on Feb. 11, 2026. This represents a 3.5% increase from the prior dividend of 28.5 cents per share.

Segmental Performance

Revenues in the **Digital** unit totaled \$825 million, up 17% from the year-ago quarter's level of \$705 million. Pre-tax operating income of \$280 million was higher than \$242 million a year ago. The unit's revenues increased year over year, primarily driven by growth in Digital Exploration from year-end sales in Brazil, Gulf of America and Angola.

Revenues in the **Reservoir Performance** unit decreased 3% year over year to \$1.75 billion. Pre-tax operating income totaled \$342 million, which declined 8% year over year. The figure beat the Zacks Consensus Estimate of \$293 million. Reduced activity in Saudi Arabia, Mexico, Qatar, and Europe & Africa affected the segment's revenues. The negatives were partially offset by higher activity levels in Argentina, Guyana, Kuwait and East Asia.

The **Well Construction** segment's revenues fell 10% from the year-earlier quarter's level to \$2.95 billion. Pre-tax operating income decreased 19% to \$550 million, and the Zacks Consensus Estimate for the same was pegged at \$533 million. A decline in drilling activities across Mexico, Saudi Arabia, Sub-Saharan Africa, North America and Asia contributed to the revenue contraction. However, stronger results from Guyana, Iraq and Kuwait partially offset the decline.

Revenues in the **Production Systems** segment amounted to \$4.08 billion, up from \$3.13 billion a year ago. Pre-tax operating income improved 30% year over year to \$664 million and beat the Zacks Consensus Estimate of \$639 million. The segment benefited from the acquired ChampionX production chemicals and artificial lift businesses.

Cash Flow & Financials

SLB reported a free cash flow of \$2.3 billion in the fourth quarter.

As of Dec. 31, 2025, the company had approximately \$4.2 billion in cash and short-term investments. It registered a long-term debt of \$9.7 billion at the end of the quarter.

Outlook

SLB announced that its capital investment (including capex, exploration data costs and APS investments) guidance for 2026 is approximately \$2.5 billion. The projected figure is higher than the year-end 2025 level of \$2.4 billion.

FY Quarter Ending **12/31/2025**

Earnings Reporting Date	Jan 23, 2026
Sales Surprise	2.21%
EPS Surprise	5.41%
Quarterly EPS	0.78
Annual EPS (TTM)	2.93

Valuation

SLB shares are up 32.5% in the past six months and 14.6% over the trailing 12-month period. Stocks in the Zacks sub-industry are down 5.5% while the Zacks Business Services sector is down 14.7%, in the past six months. Over the past year, the Zacks sub-industry is up 19.3% while the sector is down 16.1%.

The S&P 500 index is up 6.4% in the past six months and 21.2% in the past year.

The stock is currently trading at 15.81X forward 12-month earnings, which compares to 23.1X for the Zacks sub-industry, 18.57X for the Zacks sector and 22.16X for the S&P 500 index.

Over the past five years, the stock has traded as high as 27.92X and as low as 9.25X, with a 5-year median of 14.96X. Our Neutral recommendation indicates that the stock will perform in line with the market. Our \$50.00 price target reflects 16.68X F12M earnings.

The table below shows summary valuation data for SLB.

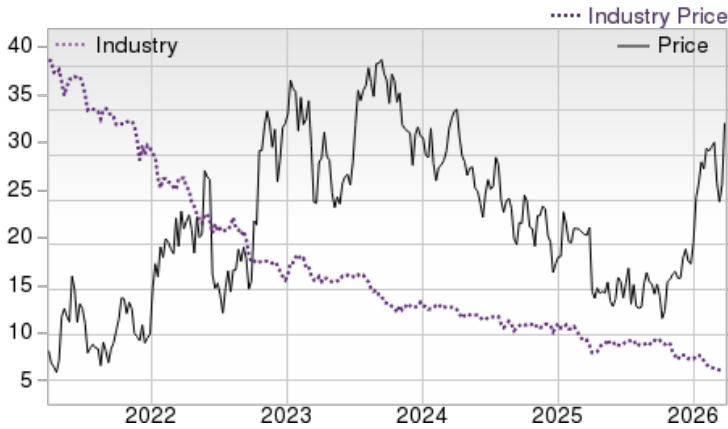
Valuation Multiples - SLB					
		Stock	Sub-Industry	Sector	S&P 500
P/E F12M	Current	15.81	23.1	18.57	22.16
	5-Year High	27.92	29.92	31.34	23.8
	5-Year Low	9.25	15.82	17.17	15.73
	5-Year Median	14.96	21.09	20.58	21.21
EV/EBITDA TTM	Current	9.63	16.91	10.26	17.76
	5-Year High	16.19	28.72	16.87	22.39
	5-Year Low	3.2	9.23	9.75	13.86
	5-Year Median	10.79	12.51	11.64	17.91
P/S F12M	Current	1.90	2.56	3.41	5.09
	5-Year High	2.70	2.76	5.61	5.63
	5-Year Low	1.12	1.25	2.83	3.82
	5-Year Median	1.81	1.85	3.77	5.07

As of 03/05/2026

Source: Zacks Investment Research

Industry Analysis⁽¹⁾ Zacks Industry Rank: Bottom 23% (187 out of 244)

Top Peers⁽¹⁾



Company (Ticker)	Rec	Rank
TechnipFMC plc (FTI)	Outperform	1
Baker Hughes Company (BKR)	Neutral	3
Halliburton Company (HAL)	Neutral	3
Liberty Energy Inc. (LBRT)	Neutral	3
Linde PLC (LIN)	Neutral	3
NOV Inc. (NOV)	Neutral	3
Subsea 7 SA (SUBCY)	Neutral	2
Petrofac Ltd. (POFCY)	NA	

Industry Comparison⁽¹⁾ Industry: Technology Services

Industry Peers

	SLB	X Industry	S&P 500	BKR	HAL	NOV
Zacks Recommendation (Long Term)	Neutral	-	-	Neutral	Neutral	Neutral
Zacks Rank (Short Term)	3	-	-	3	3	3
VGM Score	C	-	-	B	B	A
Market Cap	80.39 B	65.58 M	39.25 B	62.48 B	33.85 B	7.16 B
# of Analysts	11	2	22	10	11	12
Dividend Yield	2.21%	0.00%	1.51%	1.46%	1.68%	1.81%
Value Score	B	-	-	C	C	A
Cash/Price	0.05	0.23	0.04	0.06	0.07	0.22
EV/EBITDA	11.22	0.04	13.50	14.97	11.91	8.22
PEG Ratio	2.71	1.27	1.76	1.71	2.43	NA
Price/Book (P/B)	2.93	1.57	3.31	3.29	3.22	1.15
Price/Cash Flow (P/CF)	11.40	10.41	13.82	16.57	10.59	11.05
P/E (F1)	18.77	15.98	17.91	24.07	18.00	20.58
Price/Sales (P/S)	2.25	1.75	3.04	2.25	1.53	0.82
Earnings Yield	5.33%	2.90%	5.57%	4.16%	5.57%	4.88%
Debt/Equity	0.36	0.00	0.56	0.28	0.68	0.27
Cash Flow (\$/share)	4.69	-0.06	9.58	3.82	3.82	1.80
Growth Score	C	-	-	B	B	A
Hist. EPS Growth (3-5 yrs)	35.73%	12.13%	7.41%	87.02%	35.17%	49.92%
Proj. EPS Growth (F1/F0)	-2.73%	26.93%	9.95%	1.15%	-7.02%	56.45%
Curr. Cash Flow Growth	-5.79%	-5.79%	7.96%	7.99%	-14.13%	-32.92%
Hist. Cash Flow Growth (3-5 yrs)	14.79%	12.87%	8.87%	-25.55%	14.37%	-16.25%
Current Ratio	1.33	1.70	1.19	1.36	2.04	2.42
Debt/Capital	26.31%	1.70%	37.99%	22.12%	40.53%	21.07%
Net Margin	9.45%	-8.41%	12.63%	9.33%	5.78%	1.66%
Return on Equity	17.45%	-12.81%	17.16%	14.26%	19.77%	3.57%
Sales/Assets	0.69	0.64	0.53	0.71	0.88	0.77
Proj. Sales Growth (F1/F0)	3.60%	0.00%	5.59%	-0.90%	-2.20%	-1.30%
Momentum Score	F	-	-	B	C	D
Daily Price Chg	2.27%	-2.07%	-1.67%	1.38%	4.20%	-0.20%
1 Week Price Chg	14.73%	-2.77%	-2.12%	4.76%	10.65%	6.42%
4 Week Price Chg	4.21%	-8.93%	-7.41%	-3.13%	12.28%	-1.88%
12 Week Price Chg	33.08%	-20.29%	-7.14%	34.11%	36.55%	21.15%
52 Week Price Chg	27.75%	-28.05%	14.12%	46.75%	61.23%	32.62%
20 Day Average Volume	21,979,340	223,779	3,198,579	11,545,063	18,947,196	5,072,839
(F1) EPS Est 1 week change	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
(F1) EPS Est 4 week change	-2.46%	0.00%	0.00%	0.00%	0.00%	-0.69%
(F1) EPS Est 12 week change	-2.00%	0.00%	0.50%	1.64%	3.05%	-10.65%
(Q1) EPS Est Mthly Chg	-3.85%	0.00%	0.00%	0.00%	0.00%	-1.71%

Zacks Stock Rating System

We offer two rating systems that take into account investors' holding horizons: Zacks Rank and Zacks Recommendation. Each provides valuable insights into the future profitability of the stock and can be used separately or in combination with each other depending on your investment style.

Zacks Recommendation

The Zacks Recommendation aims to predict performance over the next 6 to 12 months. The foundation for the quantitatively determined Zacks Recommendation is trends in the company's estimate revisions and earnings outlook. The Zacks Recommendation is broken down into 3 Levels; Outperform, Neutral and Underperform. Unlike many Wall Street firms, we have an excellent balance between the number of Outperform and Neutral recommendations. Our team of 70 analysts are fully versed in the benefits of earnings estimate revisions and how that is harnessed through the Zacks quantitative rating system. But we have given our analysts the ability to override the Zacks Recommendation for the 1200 stocks that they follow. The reason for the analyst over-rides is that there are often factors such as valuation, industry conditions and management effectiveness that a trained investment professional can spot better than a quantitative model.

Zacks Rank

The Zacks Rank is our short-term rating system that is most effective over the one- to three-month holding horizon. The underlying driver for the quantitatively-determined Zacks Rank is the same as the Zacks Recommendation, and reflects trends in earnings estimate revisions.

Zacks Style Scores

The Zacks Style Score is as a complementary indicator to the Zacks rating system, giving investors a way to focus on the highest rated stocks that best fit their own stock picking preferences.

Academic research has proven that stocks with the best Value, Growth and Momentum characteristics outperform the market. The Zacks Style Scores rate stocks on each of these individual styles and assigns a rating of A, B, C, D and F. We also produce the VGM Score (V for Value, G for Growth and M for Momentum), which combines the weighted average of the individual Style Scores into one score. This is perfectly suited for those who want their stocks to have the best scores across the board.

Value Score	B
Growth Score	C
Momentum Score	F
VGM Score	C

As an investor, you want to buy stocks with the highest probability of success. That means buying stocks with a Zacks Recommendation of Outperform, which also has a Style Score of an A or a B.

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